INITIATION OF COVERAGE | AUTOMOBILES | COMMERCIAL VEHICLES

Tata Motors Ltd

NSE: TMCV | BSE: 544569 | Consolidated | Tata Group

India's CV leader at a fair price — strong FY27 volumes are offset by commodity-led margin pressure; initiating at HOLD, 12M target ₹440 (+3.3% upside)

Illustrative rating	CMP	Target value (12M)	Upside / (downside)	Expected total return	Market cap
HOLD	**₹426**	**₹440**	**3.3%**	**4.6%**	**₹1,56,853 Cr**

Research date: 09 November 2026 | Price / valuation date: 08 November 2026, NSE close | Analyst: Milind

Educational equity research project based solely on publicly available information. Ratings, estimates and target values are the author's own, illustrative, and not investment advice.

Investment case

- **Growth.** ≈36% CV share (≈55% in heavy trucks); H1 FY27 revenue +28% YoY on GST-led demand and a 70k-unit Indonesia order — FY27E revenue +16% to ₹97,272 Cr.
- **Margins.** Commodities (≈540–590 bp YoY) cut H1 FY27 EBITDA margin to ≈10.4%; we model 10.8% in FY27E, 12.0% by FY29E.
- **Balance sheet.** Net cash ₹7,435 Cr (FY26), ROCE 40% (FY27E); capex 2–4% of revenue.
- **Valuation.** 12.7x FY28E EV/EBITDA and 19.8x FY28E P/E (10% discount to the 3-peer median), 50/50 → ₹440. DCF cross-check ₹366 (−16.8%).
- **Catalysts.** Q3 FY27 margins (Feb-27); first Iveco-consolidated quarter.
- **Key risks.** Commodity inflation; FY28 CV down-cycle; Iveco leverage.

Variant view: at CMP the market prices in a steady-state EBITDA margin of ≈15.2% in our DCF vs our 12.0% — the stock already discounts a full margin recovery, leaving little room for error.

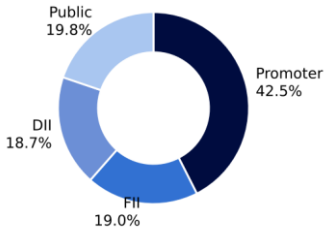
Risk–reward: bull / base / bear (₹ per share)

₹ / share	Bear	Base	Bull
12M value	₹330	₹440	₹510
Return vs CMP	(23%)	3%	20%
Swing driver	FY28 down-cycle	Margin to 12%	Faster recovery

Key data

CMP / target value	₹426 / ₹440
Market cap	₹1,56,853 Cr
Enterprise value	₹1,49,418 Cr
52-week high / low	₹509 / ₹306
Diluted shares	368.2 Cr
Net debt / (cash), FY26	(7,435) Cr
Promoter (pledged)	42.5% (0.0%)
FII / DII holding	19.0% / 18.7%
Beta (proxy) / year end	1.20x / March

Exhibit 1: Shareholding pattern, Sep-26 quarter



Source: Trendlyne (BSE/NSE filings), Sep-26

Summary financials and valuation

₹ Cr, year ending March	FY26A	FY27E	FY28E	FY29E	FY30E	FY31E
Revenue	**83,855**	**97,272**	**1,06,026**	**1,14,508**	**1,23,669**	**1,32,326**
Growth (%)	*11.7%*	*16.0%*	*9.0%*	*8.0%*	*8.0%*	*7.0%*
EBITDA	**10,035**	**10,505**	**12,193**	**13,741**	**14,840**	**15,879**
EBITDA margin (%)	*12.0%*	*10.8%*	*11.5%*	*12.0%*	*12.0%*	*12.0%*
Adjusted PAT	**6,410**	**6,721**	**8,020**	**9,269**	**10,210**	**11,144**
Adjusted EPS (₹)	**17.4**	**18.3**	**21.8**	**25.2**	**27.7**	**30.3**
P/E (x)	24.5x	23.3x	19.6x	16.9x	15.4x	14.1x
EV/EBITDA (x)	14.9x	14.2x	12.3x	10.9x	10.1x	9.4x
ROE / ROCE (%)	55% / 42%	45% / 40%	40% / 38%	35% / 35%	31% / 31%	27% / 28%

Source: FY26 Integrated Annual Report; analyst estimates (Base). FY26A adjusted PAT excludes ₹1,428 Cr exceptionals and ₹2,418 Cr fair-value loss, taxed at 25.17%. Multiples at CMP ₹426 (08-Nov-26).

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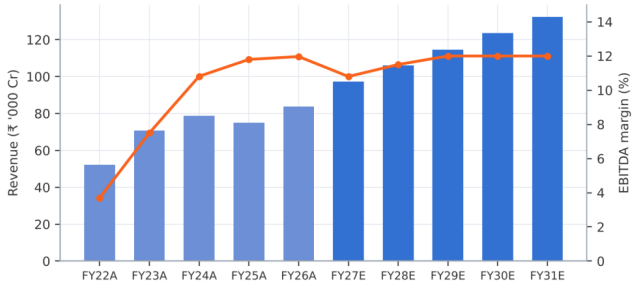
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The story in charts

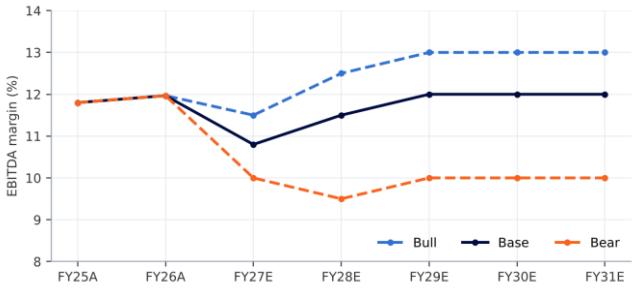
Six exhibits that make the case: growth, margins, earnings, returns, cash and valuation.

Exhibit 2: Revenue compounds at 9.6% FY26–31E; margin dips in FY27E then recovers



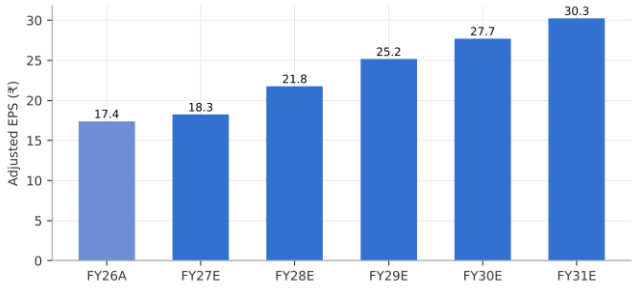
Source: FY22–25 Tata Motors CV segment; FY26 TMCV annual report; analyst estimates

Exhibit 3: Margin path — bull 12.5% vs bear 9.5% in FY28E



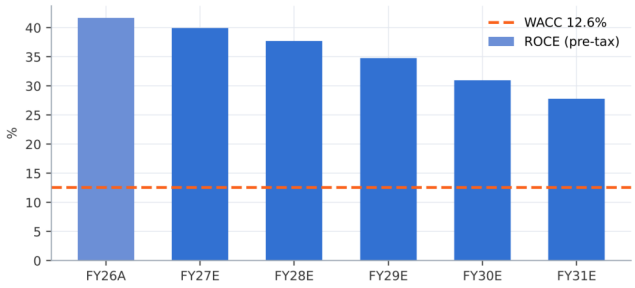
Source: Analyst estimates (Best / Base / Worst drivers)

Exhibit 4: Adjusted EPS rises from ₹17.4 (FY26A) to ₹30.3 (FY31E)



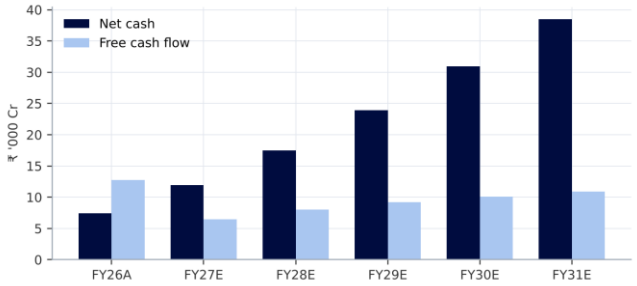
Source: Analyst estimates; FY26A adjusted for one-offs

Exhibit 5: Pre-tax ROCE of 38% (FY28E) is ≈3x the 12.6% WACC



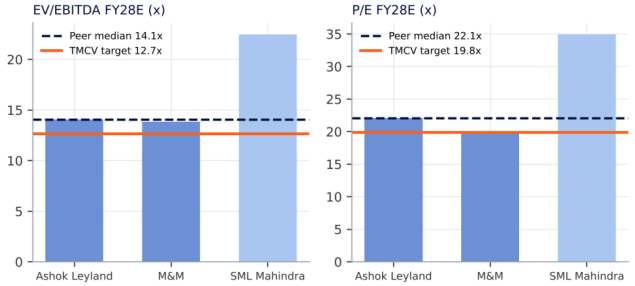
Source: Analyst estimates

Exhibit 6: Net cash builds to ₹38.5k Cr by FY31E



Source: Analyst estimates (India business; Iveco excluded)

Exhibit 7: Target multiples sit 10% below the peer median



Source: Company filings, broker estimates (consensus), Screener; analyst estimates

1. Investment summary

Fairly valued after a strong run: we initiate at HOLD with a ₹440 target — FY27 volume strength is real, but commodity costs cap margin upside and the price already discounts a full recovery.

1.1 Executive summary

Our call: HOLD, 12-month target ₹440 (+3.3% upside; 4.6% expected total return including a ₹5.5 FY27E dividend). TMCV is a high-quality, net-cash market leader, but at 14.2x FY27E EV/EBITDA the shares already price in the margin recovery we expect.

The thesis in brief: (1) Volumes are running well ahead of the industry — H1 FY27 revenue +28% YoY; (2) margins dip to 10.8% in FY27E on steel and rubber inflation before recovering to 12.0% by FY29E; (3) a net-cash balance sheet and 38% ROCE support compounding and payouts.

Why now: Q3 FY27 results (Feb-27) will show whether price hikes have caught up with the 150–200 bp commodity headwind management guided; Iveco's first consolidated quarter will reset the earnings base and leverage.

Valuation: Primary method is trading comparables: 12.7x FY28E EV/EBITDA and 19.8x FY28E P/E (10% discount to the median of Ashok Leyland, M&M and SML Mahindra), weighted 50/50. Our FCFF DCF (WACC 12.6%, g 5.0%) gives ₹366, −16.8% vs target — within our ±20% tolerance.

What the market is missing: Little, in our view. A reverse DCF shows the price requires a steady-state EBITDA margin of ≈15.2% vs our 12.0% — above FY26's 12.0% peak. Upside needs either faster margin repair or value from Iveco, which we exclude.

Key risks: Upside — faster commodity deflation, repeat export orders, Iveco synergies. Downside — a CV down-cycle in FY28 (bear case ₹330), sticky input costs, Iveco leverage. KPI to watch first: quarterly EBITDA margin vs 11%.

1.2 Recommendation and target value

Item	Analyst view
Illustrative rating	HOLD — per the rating framework in 1.3 (upside 3.3% lies between −5% and +15%).
Current market price	₹426 as of 08 November 2026, NSE close.
12-month target value	₹440 = EV/EBITDA value ₹452 × 50% + P/E value ₹432 × 50% = ₹442.0, rounded to nearest ₹5. DCF used as a cross-check only.
Expected price return	3.3% = target value ÷ CMP − 1.
Dividend yield / total return	1.3% (FY27E DPS ₹5.5) / 4.6%.
Implied multiples at target	P/E 20.2x and EV/EBITDA 12.3x on FY28E vs peer median 22.1x / 14.1x. TMCV has ≈1 year of listed history, so no 5-year own-history average exists.
Forecast period / valuation date	FY27E–FY31E / 08 November 2026.

1.3 Rating framework

Rating	Expected 12-month return	Definition
BUY	> +15%	Target value offers attractive risk-adjusted upside to CMP.
HOLD	−5% to +15%	Fairly valued; returns broadly in line with the cost of equity.
SELL	< −5%	Downside to target value; risk–reward unfavourable.

1.4 Investment thesis at a glance

Thesis pillar	Evidence	Financial implication	What would prove us wrong
1. Volume leadership in an up-cycle	H1 FY27 revenue ₹46,005 Cr, +28% YoY; ≈36% VAHAN share; 70k Indonesia units over FY27–28	Revenue +16% FY27E, +9% FY28E to ₹1,06,026 Cr	Domestic CV volumes falling YoY for two consecutive quarters
2. Margin dip is cyclical, not structural	≈540–590 bp commodity hit absorbed; 4 price hikes + 1–2% in Oct-26; FY26 margin 12.0%	EBITDA margin 10.8% → 12.0% (FY29E); EPS ₹18.3 → ₹25.2	EBITDA margin below 10% in Q3 or Q4 FY27

Thesis pillar	Evidence	Financial implication	What would prove us wrong
3. Capital-light, net-cash compounding	Capex 2–4% of revenue; ROCE 40%; net cash ₹7,435 Cr (FY26)	FCF ₹6,500 Cr in FY27E; payout 30%	Iveco acquisition debt pushed onto the Indian balance sheet

1.5 Variant perception and key debates

Where we differ: our view is close to the market's, which is why we are at HOLD. Our FY28E EPS of ₹21.8 sits below the ₹23–24 published by JM Financial and Arihant Capital (Aug-26), mainly because we model a slower margin recovery.

Key debate	Market / bull view	Our view	Evidence	Deciding KPI / timing
1. Is FY27 the peak of the cycle?	GST cut and exports extend the up-cycle into FY28	Growth normalises to +9% in FY28E as the base effect bites	ICRA 4–6%, CRISIL 5–6% industry growth for FY27	Q4 FY27 domestic volumes (May-27)
2. How fast do margins recover?	Back to 12–13% in FY28	11.5% in FY28E, 12% from FY29E	Q3 guided 150–200 bp further commodity hit	Q3 FY27 EBITDA margin (Feb-27)
3. Is Iveco value-accretive?	Global scale and synergies justify a re-rating	Value-neutral until synergies are visible; excluded from estimates	€3.8bn deal; settlement 30-Oct-26	First consolidated quarter and synergy plan

What changes the view: an upgrade if quarterly EBITDA margin returns above 12% with volumes intact, or if the price falls below ≈₹380; a downgrade if margins stay below 10% or Iveco debt is pushed onto the Indian entity.

1.6 What is priced in — market-implied expectations (reverse DCF)

Holding the forecast path, WACC and terminal growth constant, we solve for what the current price of ₹426 requires in our DCF (value today).

Item	Market-implied (at CMP)	Our base case	Read-across
Steady-state EBITDA margin (FY27–31E shift)	15.2%	12.0%	The price needs margins above the FY26 peak of 12.0% — demanding
Terminal growth (at 12.6% WACC)	7.3%	5.0%	Implies near-GDP growth in perpetuity for a cyclical business
WACC (at 5.0% terminal growth)	10.6%	12.6%	Equivalent to a ≈2.0 pp lower cost of capital

Source: Analyst estimates; Model › DCF (Gordon growth terminal value).

2. Company and industry overview

India's largest CV maker, now a focused listed entity: ≈36% market share across trucks, buses, small CVs and pickups.

2.1 Business overview

What the company does: Tata Motors Ltd (TMCV, formerly TML Commercial Vehicles Ltd) designs, manufactures and sells commercial vehicles — heavy, intermediate and light trucks (MHCV / ILMCV), small commercial vehicles and pickups (SCV&P), and buses and vans (CV passenger) — in India and export markets, plus spares, service and vehicle finance tie-ups. Revenue is driven by volumes, mix and pricing; around 60–70% of costs are materials (steel, rubber, aluminium), which is why commodity cycles drive margins.

Key milestones:

- Jun-2024: TML Commercial Vehicles Ltd incorporated to receive Tata Motors' CV undertaking.
- Oct-2025: demerger effective; passenger vehicles and JLR remain with Tata Motors Passenger Vehicles (TMPV).
- Nov-2025: TMCV listed on NSE/BSE; renamed Tata Motors Ltd.
- Sep-2025: GST on CVs cut from 28% to 18%, lifting FY26–27 demand.
- Oct-2026: takeover of Iveco Group N.V. completed (87.8% accepted); consolidation from Q3 FY27.

Revenue and profit pools: TMCV does not report segment revenue below the CV level. Management commentary and VAHAN data point to MHCV as the largest profit pool (≈55% share), SCV&P as the most competitive (≈27% share vs M&M's ≈52% in sub-3.5T pickups), and exports as the fastest-growing line in FY27 (+177% YoY in Q2 on the Indonesia order).

2.2 Industry structure and outlook

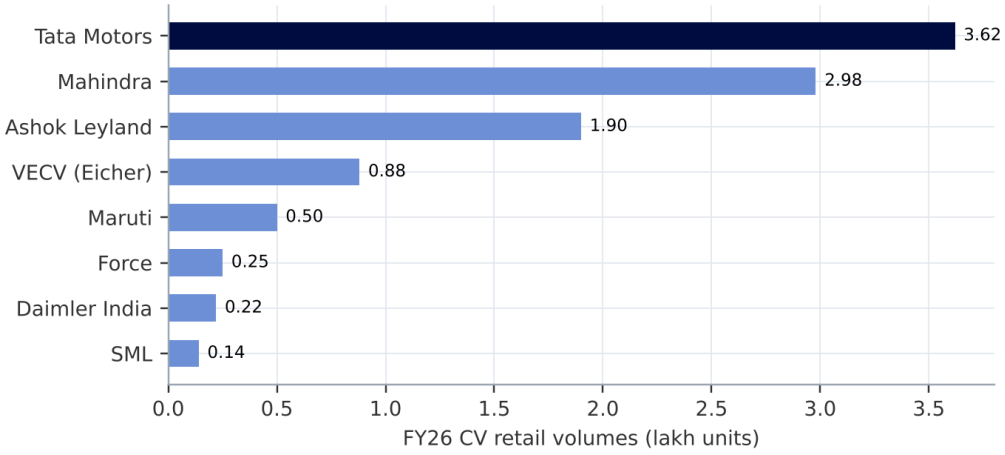
Market size: Domestic CV industry volumes are set to reach a record ≈12.4 lakh units in FY27 (CRISIL), with growth slowing to 4–6% (ICRA) after the policy-led FY26 surge.

Demand drivers and cycle: Infrastructure spending, freight activity (e-way bills, diesel consumption), replacement demand (an ageing MHCV fleet), fleet-operator profitability and financing rates. The RBI's repo hike to 5.50% is a headwind for fleet purchases.

Policy and regulation: The GST cut (28% → 18%) improves affordability; vehicle scrappage, emission norms and EV incentives for buses (PM e-Bus Sewa) shape the mix.

Competitive landscape: Tata Motors leads, followed by Mahindra (pickups), Ashok Leyland (trucks and buses), VECV (Eicher–Volvo JV), Maruti (mini-trucks), Force, Daimler India (BharatBenz) and SML Mahindra.

Exhibit 8: Tata Motors leads FY26 CV retail volumes by a wide margin



Source: Rushlane / VAHAN, CV retail sales FY2026

2.3 Competitive positioning and moat

Factor	TMCV	Ashok Leyland	M&M (CV)	Assessment
Product breadth	Full range: SCV to 55T trucks, buses, EVs	MHCV, LCV, buses	Pickups / LCV; trucks via SML	TMCV widest
Distribution & service	Largest network in India	Strong in south / west	Rural reach in pickups	TMCV advantage
Market share (FY26)	≈36% total, ≈55% HCV	≈31% MHCV, ≈34% buses	≈52% sub-3.5T pickups	Leader overall
Returns	ROCE 42% (FY26)	ROE 30%	ROE 23% (standalone)	Comparable to best-in-class

2.4 Unit economics and KPI deep-dive

KPI	FY26A	H1 FY27	Comment
Revenue (₹ Cr)	83,855	46,005 (+28% YoY)	Volumes +43% YoY in Q2; exports +177%
EBITDA margin	12.0%	≈10.4%	Commodity impact ≈540–590 bp YoY
Working capital (days)	Receivables 12 / inventory 24 / payables 68	Released in Q2 (partly timing)	Negative working-capital model
Investment spend	2.7% of revenue	≈2.5% (₹1,112 Cr)	Guided range 2–4%

2.5 Management, ownership and governance

Ownership: Promoter (Tata Sons and group entities) 42.5%, no pledge; FII 19.0%, DII 18.7% (mutual funds 11.6%), public 19.8% (Sep-26). Institutional ownership has risen every quarter since listing.

Management: Led by MD & CEO Girish Wagh and CFO G. V. Ramanan, who ran the CV business within Tata Motors before the demerger.

Governance flags: None identified. Related-party dealings with Tata group entities (Tata Cummins, Tata Capital) are disclosed; the Tata Capital stake (≈₹6,500 Cr book value) is a non-core investment.

3. Recent developments and latest results

Q2 FY27: revenue +36% YoY on volumes, but commodity costs held the EBITDA margin below 11%.

3.1 Latest quarter (Q2 FY27, quarter ended 30 September 2026)

₹ Cr (consolidated)	Q2 FY27	Q2 FY26	YoY	Q1 FY27	QoQ
Revenue	25,338	18,585	+36.3%	20,667	+22.6%
EBITDA (Screener basis)	2,648	2,032	+30.3%	2,137	+23.9%
EBITDA margin	10.5%	10.9%	(0.4 pp)	10.3%	+0.2 pp
PBT before exceptional items	≈1,780	(551)	n.m.	≈2,970	(40%)
Reported PAT	1,254	(867)	n.m.	2,556	(51%)

Source: Company results (23-Oct-26), Kotak Neo, Screener quarterly data. Q1 FY27 PAT includes a mark-to-market gain on the Tata Capital stake; Q2 FY26 a mark-to-market loss.

3.2 Management guidance tracker

Topic	Guidance (Q2 FY27 call)	Our assumption
Industry demand (Q3)	High-single to low-double-digit growth; double-digit in ILMCV and buses	FY27E revenue +16% (H2 ≈+9%)
Commodities	Further 150–200 bp cost increase in Q3	FY27E margin 10.8%
Pricing	Four hikes this year + 1–2% from 1-Oct-26	Margin recovery from FY28E
Investment spend	2–4% of revenue; H1 ≈2.5%	Capex 3.0% of revenue
Cash flow	Positive FCF in Q3 and Q4; part of Q2 working-capital release reverses	Payable days 66 (FY26: 68)
Iveco	Consolidation from Q3 FY27	Excluded; treated as value-neutral

4. Investment thesis and catalysts

Three pillars — volume leadership, a cyclical (not structural) margin dip and net-cash compounding — support the business, but not a re-rating from here.

4.1 Volume leadership is translating into above-industry growth

TMCV grew H1 FY27 revenue 28% while the industry is expected to grow 4–6% for the year. Three forces drive this: the GST cut lowered vehicle prices by ≈8%; replacement demand in an ageing heavy-truck fleet; and the 70,000-unit Indonesia export order, delivered across FY27–28. We model revenue of ₹97,272 Cr in FY27E (+16%) and ₹1,06,026 Cr in FY28E (+9%), then 7–8% a year, in line with nominal GDP.

4.2 The margin squeeze is cyclical and price hikes are catching up

Steel and rubber inflation cost ≈540–590 bp of margin YoY in Q2 FY27, and management expects another 150–200 bp in Q3. TMCV has taken four price increases this year plus 1–2% in October. FY26 showed the business earns 12% at normal input costs; we model 10.8% in FY27E, 11.5% in FY28E and 12.0% from FY29E, below JM Financial's 12.9% FY28E.

4.3 Net cash and high returns fund growth and payouts

The business runs on negative working capital (payables ≈68 days vs receivables plus inventory ≈36) and invests only 2–4% of revenue. We expect FCF of ₹6,500 Cr in FY27E, net cash rising from ₹7,435 Cr (FY26) to ₹17,510 Cr (FY28E), and DPS rising from ₹4.0 to ₹6.5 at a 30% payout.

4.4 Catalysts

Date	Event	Expected impact
Feb-2027	Q3 FY27 results — margin vs the guided commodity headwind	High: confirms or breaks pillar 2
Q3–Q4 FY27	First consolidated quarter with Iveco; synergy and financing plan	High: resets earnings base and leverage
FY27–FY28	Indonesia order deliveries; possible repeat export orders	Medium
May-2027	FY27 results and dividend	Medium
Ongoing	Monetisation of the Tata Capital stake (≈₹15–18 per share)	Low–medium upside

4.5 Primary research and channel checks

No primary research or channel checks were conducted for this educational report. Conclusions rest on company filings, management commentary, industry data (VAHAN, CRISIL, ICRA) and published broker research.

5. Financial analysis and forecasts

We forecast 11.7% adjusted PAT CAGR over FY26–31E, driven by volume growth and margin recovery, with net cash rising throughout.

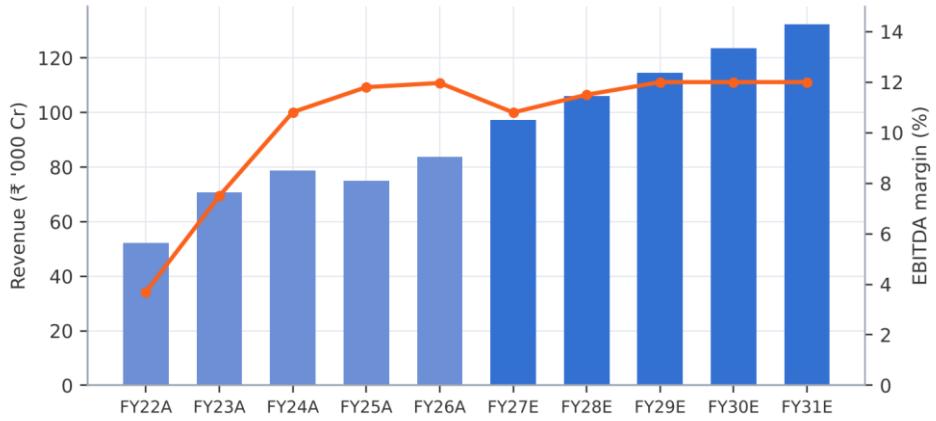
5.1 Historical financial analysis

₹ Cr	FY22A	FY23A	FY24A	FY25A	FY26A
Revenue	**52,287**	**70,816**	**78,791**	**75,055**	**83,855**
Growth	–	*35.4%*	*11.3%*	*(4.7%)*	*11.7%*
EBITDA	**1,935**	**5,310**	**8,520**	**8,857**	**10,035**
EBITDA margin	*3.7%*	*7.5%*	*10.8%*	*11.8%*	*12.0%*
EBIT	210	3,693	6,483	6,814	8,090

Source: FY22–FY25: Tata Motors Ltd (pre-demerger) Commercial Vehicle segment disclosures — revenue and EBIT exact, FY22 and FY25 EBITDA derived from reported margins. FY26: TMCV FY26 Integrated Annual Report (consolidated).

Margins rose from 3.7% in FY22 (COVID-hit volumes and commodity peak) to 12.0% in FY26 as volumes recovered, pricing discipline improved and costs were cut. TMCV only became a separate company in mid-2024, so balance-sheet and cash-flow history is available for FY25–FY26 only.

Exhibit 9: Margin and return trends

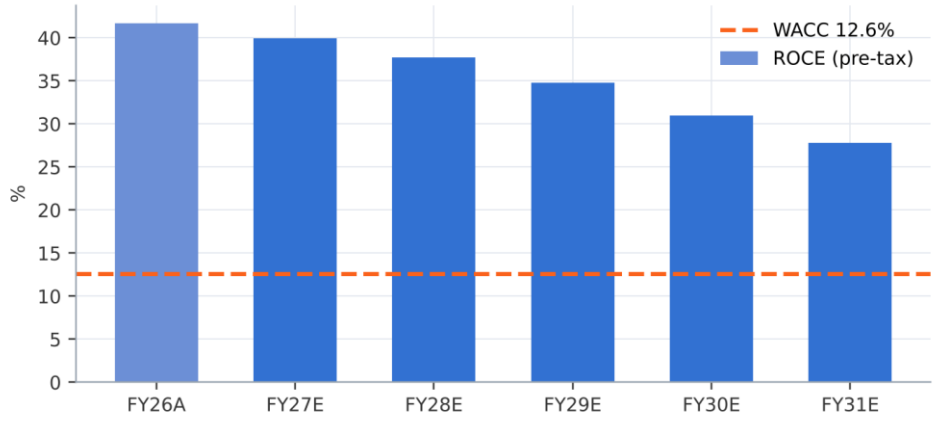


Source: As above; analyst estimates for FY27E–FY31E

5.2 Capital allocation and cash flow

FY26 cash from operations was ₹14,981 Cr against capex of ₹2,248 Cr, and net borrowings fell by ₹4,310 Cr. We expect capex of 3% of revenue, a 30% payout and no new borrowing, so net cash builds to ₹38,515 Cr by FY31E (India business). Iveco's acquisition financing is excluded and is the main swing factor for the group balance sheet.

Exhibit 10: ROCE vs WACC — growth creates value (+38% vs 12.6%)



Source: Analyst estimates

5.3 Forecast methodology and assumptions

Driver	FY27E	FY28E	FY29–31E	Basis
Revenue growth	16%	9%	8% / 8% / 7%	H1 FY27 +28%; industry 4–6%; GDP-like long run
EBITDA margin	10.8%	11.5%	12.0%	Commodity drag then price-hike catch-up; FY26 12.0%
Capex (% revenue)	3.0%	3.0%	3.0%	Guided 2–4%
D&A (% revenue)	2.3%	2.3%	2.3%	FY26 level
Working capital (days)	R 12 / I 24 / P 66	Same	Same	FY26 levels; payables trimmed
Tax rate	26%	26%	26%	25.17% statutory + dividend tax
Payout	30%	30%	30%	FY26 ₹4 DPS

5.4 Forecast summary

₹ Cr	FY26A	FY27E	FY28E	FY29E	FY30E	FY31E
Revenue	**83,855**	**97,272**	**1,06,026**	**1,14,508**	**1,23,669**	**1,32,326**
EBITDA	**10,035**	**10,505**	**12,193**	**13,741**	**14,840**	**15,879**
EBITDA margin	*12.0%*	*10.8%*	*11.5%*	*12.0%*	*12.0%*	*12.0%*
Adjusted PAT	**6,410**	**6,721**	**8,020**	**9,269**	**10,210**	**11,144**
Adjusted EPS (₹)	**17.4**	**18.3**	**21.8**	**25.2**	**27.7**	**30.3**
DPS (₹)	4.0	5.5	6.5	7.6	8.3	9.1
Free cash flow	12,733	6,500	7,997	9,165	10,098	10,929
Net debt / (cash)	(7,435)	(11,919)	(17,510)	(23,894)	(30,929)	(38,515)

Source: Analyst estimates (Base case)

5.5 Operating benchmarking vs peers

LTM	Revenue (₹ Cr)	EBITDA margin	ROE	Net debt (₹ Cr)	Dividend yield
TMCV (ROE on FY26 adjusted PAT)	**93,950**	**11.4%**	**55.1%**	**(7,435)**	**1.3%**
Ashok Leyland (standalone)	44,917	12.8%	30.2%	(5,902)	2.0%
M&M (standalone)	1,62,593	13.2%	23.1%	(31,311)	1.0%
SML Mahindra	3,064	8.5%	35.4%	283	0.4%

Source: Company filings, Screener (LTM to Sep-26; Ashok Leyland to Jun-26); TMCV ROE on FY26 adjusted PAT

6. Valuation

Trading comparables give ₹440; the DCF cross-check at ₹366 is 16.8% lower — consistent, and a reminder that upside is limited.

6.1 Methodology and weighting

Primary method: trading comparables on FY28E (the 12-month-forward year) — EV/EBITDA and P/E, weighted 50/50. Cross-check: FCFF DCF with Gordon-growth terminal value; the target is flagged if the DCF is more than ±20% away. Iveco is excluded from estimates and treated as value-neutral (acquired at fair value, debt-funded); the Tata Capital stake is excluded and noted as upside.

6.2 DCF valuation (FCFF) — cross-check

Input	Value	Rationale
Risk-free rate	7.12%	10-year G-Sec yield, 29-Oct-26
Equity risk premium	5.2%	Damodaran India ERP 7.08% less the 1.87% sovereign default spread already in the G-Sec yield
Beta	1.20	Cyclical CV proxy — TMCV has ≈1 year of trading history
Cost of equity / post-tax cost of debt	13.4% / 6.0%	CAPM; pre-tax Kd 8.0%
Target debt weight / WACC	10% / 12.6%	Net-cash company; through-cycle mix
Terminal growth	5.0%	Below ≈10% long-run nominal GDP; cyclicality and EV transition

₹ Cr	FY27E	FY28E	FY29E	FY30E	FY31E
NOPAT	6,118	7,218	8,219	8,877	9,498
Add: D&A	2,237	2,439	2,634	2,844	3,043
Less: capex	(2,918)	(3,181)	(3,435)	(3,710)	(3,970)
Less: increase in working capital	460	720	697	753	712
FCFF	**5,897**	**7,196**	**8,115**	**8,764**	**9,284**
FCFF counted (after valuation date)	2,311	7,196	8,115	8,764	9,284
PV of FCFF	**2,257**	**6,472**	**6,481**	**6,215**	**5,845**

Enterprise to equity value	₹ Cr / ₹
Sum of PV of FCFF	27,270
PV of terminal value (Gordon growth)	75,870
Enterprise value	**1,03,140**
Terminal value share of EV	*73.6%*
Add: cash rolled to valuation date	15,164
Add: investments (book)	8,009
Less: borrowings	(5,615)
Equity value	**1,20,698**
DCF value per share — today	**₹327.8**
DCF value per share — 12-month (× (1 + CoE) − DPS)	**₹366.1**
Implied exit EV/EBITDA of the Gordon value	*8.1x*

Source: Analyst estimates; Model › DCF

6.3 Relative valuation

Peers: Ashok Leyland (standalone) — the closest listed CV peer; M&M (standalone) — TMCV's main rival in pickups; SML Mahindra — pure-play light/intermediate trucks and buses. Passenger-vehicle and two-wheeler-led companies are excluded. Forward estimates are broker averages for Ashok Leyland and M&M; SML has no coverage, so its estimates are ours.

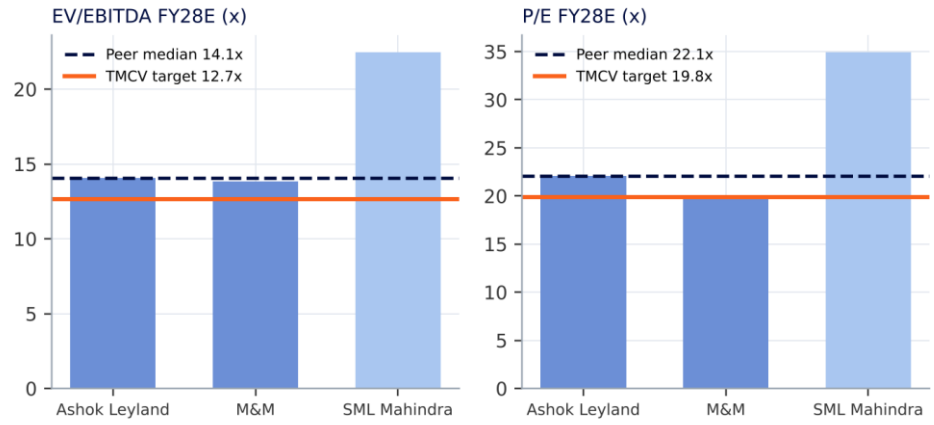
Company	EV/EBITDA LTM	EV/EBITDA FY27E	EV/EBITDA FY28E	P/E LTM	P/E FY27E	P/E FY28E	P/B
Ashok Leyland	16.6x	16.2x	14.1x	28.2x	25.7x	22.1x	7.7x
M&M (standalone)	17.0x	16.3x	13.8x	23.9x	23.3x	19.9x	5.3x
SML Mahindra	30.3x	28.1x	22.5x	51.6x	46.4x	35.0x	14.6x
Median	**17.0x**	**16.3x**	**14.1x**	**28.2x**	**25.7x**	**22.1x**	**7.7x**
TMCV at CMP (our estimates)	**14.0x**	**14.2x**	**12.3x**	**22.3x**	**23.3x**	**19.6x**	**12.3x**

Source: Company filings, broker estimates (BOBCAPS, ICICI Direct, MOFSL, PL), Screener; prices 08-Nov-26

Target build (FY28E)	EV/EBITDA	P/E
Peer median	14.1x	22.1x
Premium / (discount)	(10%)	(10%)
Target multiple	12.7x	19.8x
Our FY28E EBITDA (₹ Cr) / EPS (₹)	12,193	21.78
Implied EV (₹ Cr)	1,54,384	–
Add: net cash, end-FY27E (₹ Cr)	11,919	–
Value per share	₹451.7	₹432.3
Weight	50%	50%
Target (rounded to ₹5)	₹440	

Why a 10% discount: (i) M&M's market cap includes listed stakes (Tech Mahindra, Mahindra Finance) that its standalone EBITDA excludes, inflating its multiples by ≈15–18%; (ii) TMCV is more exposed to the cyclical heavy-truck segment. The resulting 12.7x EV/EBITDA sits inside the 12–14x range used by MOFSL, Arihant and JM Financial.

Exhibit 11: TMCV target multiples vs peers (FY28E)



Source: As above

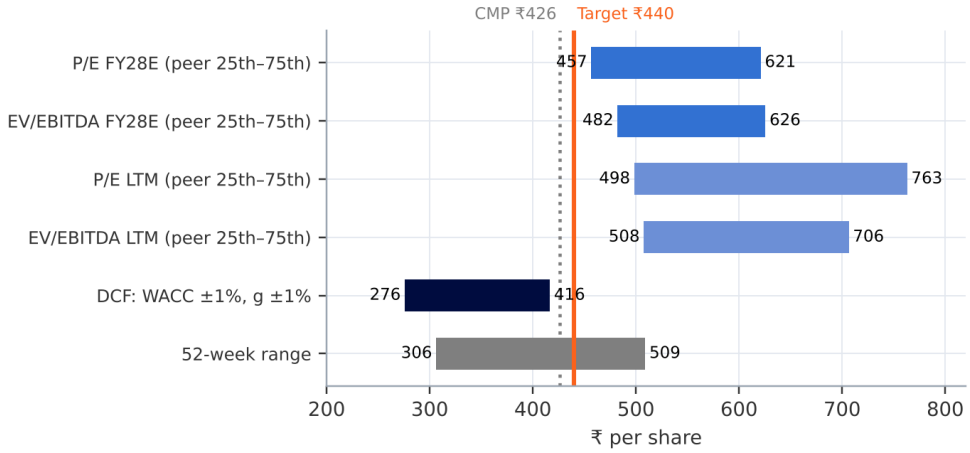
6.4 Cross-checks

Check	Result	Comment
DCF vs target	₹366 (−16.8%)	Within ±20% tolerance; Gordon DCF is conservative (implied exit 8.1x)
Implied multiples at target	P/E 24.1x FY27E / 20.2x FY28E	Below peer medians
Broker targets	₹416 (MOFSL, Neutral) – ₹553 (Arihant, Buy)	Our ₹440 sits at the lower end
Precedent transactions	Not used	Control premia (e.g. Iveco) are not relevant to a minority valuation

6.5 Valuation conclusion

We set a 12-month target of ₹440, implying 3.3% upside and a HOLD rating. The football field shows the target below most peer-multiple ranges (the effect of our discount) and above the DCF range — the stock looks fully valued on intrinsic value and fairly valued against peers.

Exhibit 12: Valuation summary ("football field")



Source: Analyst estimates; peer ranges are 25th–75th percentile multiples; DCF range is WACC ±1% and terminal growth ±1% (value today)

7. Scenario analysis, risks and monitoring

Risk–reward is balanced: bull ₹510 (+20%) vs bear ₹330 (−23%); the probability-weighted value is close to the target.

7.1 Valuation sensitivity

DCF value per share today (₹) — WACC vs terminal growth (Gordon growth)

WACC \ g	4.0%	4.5%	5.0%	5.5%	6.0%
11.6%	₹335	₹351	₹370	₹391	₹416
12.1%	₹318	₹332	₹347	₹365	₹387
12.6%	**₹302**	**₹314**	**₹328**	**₹343**	**₹361**
13.1%	₹288	₹299	₹311	₹324	₹339
13.6%	₹276	₹285	₹296	₹307	₹320

Source: Model › Outputs › DCF sensitivity

Operating sensitivity — 12-month target (comps, FY28E basis)

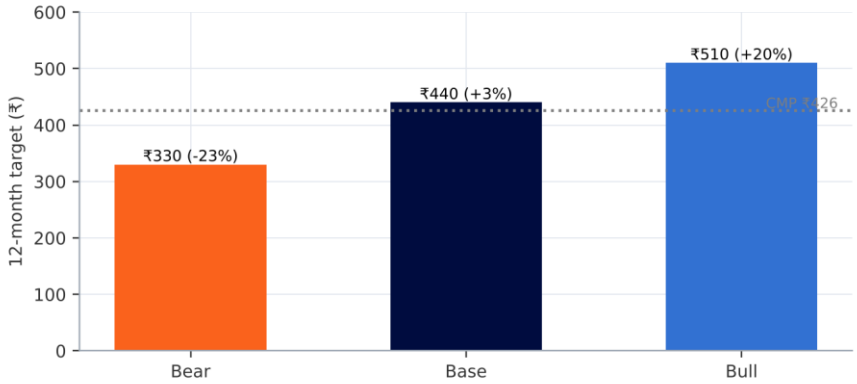
Change	FY28E EPS (₹)	Target value (₹)	Change vs base
Revenue growth −2 pp / +2 pp (FY27–28E)	20.9 / 22.7	426 / 458	(3.6%) / 3.7%
EBITDA margin −100 bp / +100 bp	19.7 / 23.9	403 / 481	(8.9%) / 8.9%
Target multiples −1x / +1x	–	415 / 469	(6.2%) / 6.2%
Raw materials +10% / −10% (75% passed through)	18.2 / 25.4	375 / 509	(15.1%) / 15.1%

Source: Analyst estimates; first-order approximation on the FY28E target build (before rounding)

7.2 Bull, base and bear cases

Scenario	Key operating assumptions	Value / share	Return vs CMP	Probability
Bull	Revenue +19% / +12% (FY27–28E); margin 11.5% → 13.0%; capex 2.75%	₹510	19.7%	25%
Base	Revenue +16% / +9%; margin 10.8% → 12.0%; capex 3.0%	₹440	3.3%	50%
Bear	Revenue +12% / +2% (FY28 down-cycle); margin 10.0% → 9.5%; capex 3.5%	₹330	(22.5%)	25%
Probability-weighted value	–	₹430	0.9%	100%

Exhibit 13: Risk–reward — bull / base / bear vs CMP



Source: Analyst estimates

7.3 Principal risks

Risk	Prob.	Impact	Effect on thesis / valuation	Early-warning indicator
Demand / cyclicality	M	H	FY28 down-cycle → bear case ₹330	Monthly VAHAN registrations, freight rates

Risk	Prob.	Impact	Effect on thesis / valuation	Early-warning indicator
Input costs / commodities	H	M	±10% raw materials ≈ ±15% on target	HRC steel and rubber prices
Iveco integration / leverage	M	H	Acquisition debt and execution risk outside our estimates	Financing structure, Iveco margins
Competition / pricing	M	M	Share loss in SCV / pickups to M&M	Quarterly market share
Regulatory / emission norms	L	M	Pre-buy and post-buy volatility	Norm timelines, scrappage policy
Interest rates	M	M	Higher fleet financing costs (repo at 5.50%)	RBI policy, CV loan rates
EV transition	L	M	Higher capex; new competitors in buses	E-bus tenders, EV share

Upside risks: faster commodity deflation, repeat export orders, Iveco synergies, Tata Capital stake monetisation.

Downside risks: a sharper CV down-cycle, persistent input-cost inflation, Iveco losses or debt consolidated into TMCV, loss of share in pickups.

7.4 Pre-mortem

Assume it is November 2027 and the HOLD call has failed. The most likely reasons:

1. Margins recovered much faster than modelled (deflation plus price hikes), lifting FY28E EPS above ₹25 and the stock well above target — KPI: quarterly EBITDA margin > 12.5%.
2. A sharper-than-expected CV down-cycle in FY28 cut volumes and margins together — KPI: domestic volumes down YoY for two quarters.
3. Iveco proved materially accretive (or dilutive) once consolidated, changing the earnings base we exclude — KPI: Iveco EBIT margin and group net debt.

7.5 Monitoring dashboard

KPI	Latest	Base-case expectation	Thesis-break level	Frequency / source
EBITDA margin	10.5% (Q2 FY27)	10.8% FY27E, 11.5% FY28E	< 10% for two quarters	Quarterly results
Domestic CV volumes	+43% YoY (Q2 FY27, total)	High single digit in H2 FY27	Negative YoY for two quarters	Monthly sales, VAHAN
Market share (VAHAN)	36.2% (H1 FY27)	≈36%	< 34%	Monthly VAHAN
Net cash (India)	₹11,300 Cr standalone (Sep-26)	Rising	Iveco debt pushed to TMCV	Half-yearly balance sheet

8. Sources, methodology and disclosures

8.1 Sources and data cut-off

Information cut-off: 09 November 2026. Company facts are taken from audited annual reports, exchange filings and results; market data from Screener and Trendlyne; industry data from CRISIL, ICRA and VAHAN.

Ref.	Data / claim	Source / document	Date
S01	FY25–FY26 financial statements, tax note	TMCV FY26 Integrated Annual Report (NSE)	Jun-2026
S02	FY22–FY25 CV segment data	Tata Motors FY24 Annual Report; FY23 and FY25 audited results	2023–2025
S03	Q2 FY27 results and guidance	Company results; Q2 FY27 earnings call; Kotak Neo; Mint	Oct-2026
S04	Industry volumes and outlook	Rushlane/VAHAN; CRISIL; ICRA	Apr–Nov 2026
S05	Peer data and estimates	Ashok Leyland, M&M FY26 results; BOBCAPS, ICICI Direct, MOFSL, PL; Screener	May–Nov 2026
S06	Cost of capital	Trading Economics (10Y G-Sec); Damodaran country risk premiums (Jan-2026)	Oct-2026
S07	Shareholding	Trendlyne (BSE/NSE shareholding filings)	Sep-2026

8.2 Definitions and methodology

- A = actual / reported; E = analyst estimate. Financial year ends in March. LTM = last four reported quarters.
- Financials are consolidated (TMCV). Adjusted PAT excludes exceptional items and fair-value gains/losses on investments, tax-effected at the 25.17% statutory rate.
- EBITDA = revenue − operating expenses (excluding other income and fair-value movements). Net debt = borrowings including leases − cash, bank balances and current investments; strategic investments are excluded.
- Valuation date 08-Nov-2026, NSE close. Diluted shares 368.2 Cr (FY26 profit ÷ diluted EPS). Peers use the same net-debt definition; Ashok Leyland and M&M on a standalone basis to exclude their lending arms.
- Model file: Equity_Research_v8_Claude.xlsx (Base case).

8.3 Analyst certification and conflicts

Analyst certification: I certify that the views expressed in this report are my own and that it was prepared independently as an educational project.

Holdings / conflicts: [Analyst to complete — disclose any personal or family holdings in TMCV or its peers, or state that there are none only if true.]

8.4 Rating and target value history

Date	Rating	Target value (₹)	CMP (₹)	Comment
09-Nov-2026	HOLD	440	426	Initiation of coverage

8.5 Important disclaimer

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Appendix A: Summary financial statements

Income statement (₹ Cr)

Year ending March	FY26A	FY27E	FY28E	FY29E	FY30E	FY31E
Revenue	**83,855**	**97,272**	**1,06,026**	**1,14,508**	**1,23,669**	**1,32,326**
EBITDA	**10,035**	**10,505**	**12,193**	**13,741**	**14,840**	**15,879**
D&A	1,945	2,237	2,439	2,634	2,844	3,043
EBIT	8,090	8,268	9,754	11,107	11,996	12,836
Other income	1,124	1,264	1,533	1,868	2,251	2,673
Finance costs	(874)	(449)	(449)	(449)	(449)	(449)
Exceptional items	(3,846)	0	0	0	0	0
Profit before tax	**4,494**	**9,082**	**10,838**	**12,526**	**13,798**	**15,060**
Tax	(1,633)	(2,361)	(2,818)	(3,257)	(3,587)	(3,915)
Share of associates	169	0	0	0	0	0
Reported PAT	**3,030**	**6,721**	**8,020**	**9,269**	**10,210**	**11,144**
Adjusted PAT	**6,410**	**6,721**	**8,020**	**9,269**	**10,210**	**11,144**
Adjusted EPS (₹)	**17.4**	**18.3**	**21.8**	**25.2**	**27.7**	**30.3**
DPS (₹)	4.0	5.5	6.5	7.6	8.3	9.1

Balance sheet (₹ Cr)

As at March	FY26A	FY27E	FY28E	FY29E	FY30E	FY31E
Cash & equivalents	13,050	17,534	23,125	29,509	36,544	44,130
Trade receivables	2,721	3,198	3,486	3,765	4,066	4,350
Inventories	5,448	6,396	6,972	7,529	8,132	8,701
Other assets	7,093	7,093	7,093	7,093	7,093	7,093
Net fixed assets	15,988	16,669	17,411	18,213	19,078	20,005
Investments	8,009	8,009	8,009	8,009	8,009	8,009
Total assets	**52,309**	**58,899**	**66,096**	**74,118**	**82,922**	**92,288**
Trade payables	15,704	17,589	19,172	20,706	22,362	23,927
Other liabilities	18,256	18,256	18,256	18,256	18,256	18,256
Borrowings	5,615	5,615	5,615	5,615	5,615	5,615
Shareholders' equity	12,734	17,439	23,053	29,541	36,688	44,489
Total liabilities & equity	**52,309**	**58,899**	**66,096**	**74,118**	**82,922**	**92,288**

Cash flow and ratios

Year ending March	FY26A	FY27E	FY28E	FY29E	FY30E	FY31E
Cash from operations	14,981	9,418	11,178	12,600	13,808	14,899
Capital expenditure	(2,248)	(2,918)	(3,181)	(3,435)	(3,710)	(3,970)
Free cash flow	**12,733**	**6,500**	**7,997**	**9,165**	**10,098**	**10,929**
Dividends paid	0	(2,016)	(2,406)	(2,781)	(3,063)	(3,343)
ROE	55.1%	44.6%	39.6%	35.2%	30.8%	27.5%
ROCE (pre-tax)	41.7%	39.9%	37.7%	34.8%	31.0%	27.8%
Net debt / EBITDA (x)	-0.7x	-1.1x	-1.4x	-1.7x	-2.1x	-2.4x
Book value per share (₹)	34.6	47.4	62.6	80.2	99.6	120.8

Source: TMCV FY26 Integrated Annual Report; analyst estimates. FY26A cash flow as reported; India business only (Iveco excluded).

Appendix B: Glossary

Term	Meaning
CV / MHCV / ILMCV / SCV&P	Commercial vehicles / medium & heavy / intermediate & light / small CVs and pickups
EBITDA	Earnings before interest, tax, depreciation and amortisation
FCFF	Free cash flow to the firm = NOPAT + D&A − capex − increase in working capital
EV	Enterprise value = market cap + borrowings − cash
WACC / CoE	Weighted average cost of capital / cost of equity
LTM / FY27E	Last twelve months / financial year ending March 2027, estimate
VAHAN	Government of India vehicle registration database
FVTPL	Fair value through profit or loss (mark-to-market on investments)